Niyam

36-month business plan

October 2026–September 2029 · INR · Prepared 10 October 2026

Founder-input planning forecast. This document is a static snapshot of the saved three-scenario financial model, not a funded operating budget.

1. Executive summary

Niyam is an India-focused AI agent company building a maintained, source-backed eligibility rules infrastructure for government welfare. It reads new government orders, converts eligibility changes into code with a source for every line, tests the changes, and serves the resulting rules through an API. The central architectural advantage is that models run when an order changes—not every time someone asks an eligibility question.

The business combines a free public website and open rulebook with paid Navigator, Platform and Government tiers. The plan expands coverage to 3, 10 and 28 states at the end of years 1, 2 and 3. The base-case year-3 targets are 80 Navigator customers, 20 Platform customers and 6 Government contracts.

The 36-month forecast runs from October 2026 to September 2029. Base-case annual revenue rises from ₹6.50 lakh in year 1 to ₹68.33 lakh in year 2 and ₹251.41 lakh (₹2.51 crore) in year 3. By month 36, monthly revenue is ₹30.50 lakh, gross margin is 95.6% and EBITDA is ₹22.45 lakh under the stated cost assumptions.

The immediate constraint is funding, not model inference cost. Opening cash of ₹25 lakh is depleted in June 2027 in the base case, a year before monthly cash flow turns positive in June 2028. The minimum additional capital needed to bridge the base-case trough is ₹40.52 lakh, before contingency. A preliminary financing target of ₹50–60 lakh additional capital is recommended, subject to collection-delay and staffing stress tests.

This is a founder-input planning forecast, not an approved budget, audited history, signed customer pipeline or independent market study. Commercial value propositions and operational milestones below are proposed strategy; measured processing costs and prices come from the founder.

2. Problem

Government welfare eligibility rules in India change through government orders, often issued as PDFs in Marathi or Hindi. An organisation helping someone assess eligibility must locate the relevant order, interpret the change, determine its effective date, reconcile it with earlier rules, and apply it consistently.

The resulting operational problem is not simply answering a question. It is maintaining a current and explainable rule system as the underlying policy changes. Manual interpretation across multiple states can create stale rules, inconsistent answers and repeated work. A fluent answer without a verifiable source does not solve that maintenance problem.

Niyam targets the organisations that need repeatable eligibility checks: NGOs, helplines, benefits navigators, embedded welfare platforms and state departments. The plan does not assume a market-size estimate or verified willingness to pay; both should be tested through design partners and paid pilots.

3. Solution

Niyam separates policy understanding from eligibility execution. A model-assisted update workflow reads a new order and proposes changes to eligibility rules. Once reviewed and tested, those rules are executed as code through an API, avoiding model inference on the query path.

- Ingest and triage each new order: identify relevance, state, scheme, language and effective date.
- Produce source-linked rule changes: preserve the source for every line and the connection to prior and superseded orders.
- Test before release: run regression tests and edge-case checks; quarantine ambiguous changes for human review rather than silently publishing them.
- Release versioned rules: provide controlled deployment, rollback and an auditable change history.
- Serve and explain eligibility: expose the maintained rules through the API, public website and open rulebook.

The founder describes source-backed code generation, testing and API serving as the product approach. Quarantine, versioned releases, rollback, security controls and review gates are proposed operating safeguards; their implementation and effectiveness must be verified.

The intended defensibility is the maintained rule corpus, provenance, regression coverage, integration quality and reliability of the update operation. It is not exclusive access to a language model or ownership of public government documents.

4. Customers and why they pay

- **Customer:** NGOs, helplines and benefits navigators; **Use case:** Repeated eligibility checks in assisted workflows; **Proposed reason to pay:** Reduce manual policy tracking and give staff a consistent, source-backed workflow.
- **Customer:** Fintechs, NBFCs, microfinance and CSR platforms; **Use case:** Embed welfare discovery and eligibility into their own applications; **Proposed reason to pay:** Avoid building and maintaining a multi-state rules engine; integrate through an API.
- **Customer:** State government departments; **Use case:** Departmental eligibility workflows and policy-rule maintenance; **Proposed reason to pay:** Obtain auditable, maintained rules with clear implementation and operational accountability.

The free tier supports public access, product discovery and trust. Paid conversion should be based on integration, workflow usefulness, maintained coverage, support and service commitments—not an assumption that public information itself is scarce.

These benefits are sales hypotheses, not measured customer ROI. The first pilots should document workflow time saved, policy-update effort avoided, integration time, source traceability, and willingness to renew at the listed price. Platform and Government deals should define their support obligations and billing terms explicitly. Eligibility checks do not substitute for credit underwriting or legally definitive benefit-award decisions.

5. Pricing

- **Tier:** Open; **Founder-supplied price:** Free; **Audience / scope:** Website, open rulebook and 1,000 API calls per day; no revenue assumed.
- **Tier:** Navigator; **Founder-supplied price:** ₹9,999 per month; **Audience / scope:** NGOs, helplines and benefits navigators.
- **Tier:** Platform; **Founder-supplied price:** ₹49,999 per month; **Audience / scope:** Fintechs, NBFCs, microfinance and CSR platforms.
- **Tier:** Government; **Founder-supplied price:** From ₹25 lakh per year; **Audience / scope:** State departments; model uses the minimum annual fee.

Government revenue is recognised at ₹2,08,333.33 per contract per month. The model assumes collection in the same month as recognised revenue; it does not assume annual upfront cash collection. Larger contract

values, setup charges, usage overages, discounts and paid implementation fees are not assumed.

GST treatment and tax-inclusive versus tax-exclusive quoting have not been specified. The plan excludes GST from revenue and cash modelling pending confirmation. Service levels and entitlements beyond the stated Open limit remain to be defined; this document does not invent them.

6. Unit economics

Measured order-processing costs use the founder-supplied exchange rate of ₹84 per USD.

- **Measure:** Average cost per government order processed; **USD:** $0.13; **INR equivalent:** ₹10.92
- **Measure:** Relevant-order processing range; **USD:** $0.11–$0.42; **INR equivalent:** ₹9.24–₹35.28
- **Measure:** Irrelevant-order processing; **USD:** Under $0.001; **INR equivalent:** Under ₹0.084
- **Measure:** 30 relevant orders × $0.13: indicative state-month calculation; **USD:** $3.90; **INR equivalent:** ₹327.60
- **Measure:** Conservative budget per covered state per month; **USD:** $10.00; **INR equivalent:** ₹840.00

The $0.13 average is not established as the relevant-order-only average. Multiplying it by 30 is therefore an indicative calculation, not a reconciled observed state bill. The model uses the founder's higher $10/state/month budget as a conservative allowance; its difference from measured order costs should be tracked, not presented as a measurement.

Cost per API call: there is ₹0 of per-query model inference in the stated architecture, because eligibility calls execute precomputed rules. The total cost per served call has not been measured. Hosting, monitoring, bandwidth, abuse prevention and support still have costs. A fully allocated average requires actual served-call volumes and shared-cost allocation; it cannot responsibly be quoted as zero.

Hosting is $20/month (₹1,680) throughout year 1, then rises evenly to $600/month (₹50,400) at month 36. Payment processing is 2% of revenue. No incremental AI cost per API call is added.

Gross profit = revenue minus state-processing costs, hosting and payment fees. Gross margin = gross profit divided by revenue. Policy analyst and engineering payroll are operating expenses below gross profit in this draft. High gross margin therefore does not mean policy review, maintenance or support is free.

- **Base case, month 36:** Revenue; **Amount:** ₹30,49,900
- **Base case, month 36:** AI processing: 28 states × ₹840; **Amount:** ₹23,520
- **Base case, month 36:** Hosting; **Amount:** ₹50,400
- **Base case, month 36:** Payment fees; **Amount:** ₹60,998
- **Base case, month 36:** Total cost of revenue; **Amount:** ₹1,34,918
- **Base case, month 36:** Gross profit; **Amount:** ₹29,14,982
- **Base case, month 36:** Gross margin; **Amount:** 95.6%

Customer acquisition cost, sales conversion rates, retention, lifetime value and support time per customer remain unmeasured. Do not infer profitable acquisition or durable retention from processing costs alone.

7. 36-month financial summary for the three scenarios

Year 1: October 2026–September 2027. Year 2: October 2027–September 2028. Year 3: October 2028–September 2029. Monetary values in the following tables are ₹ lakh. Annual gross margin is calculated from annual gross profit divided by annual revenue, not an average of monthly percentages.

- **Case:** Downside; **Year:** 1; **Revenue:** 3.25; **Gross margin:** 86.8%; **EBITDA:** -47.18; **Year-end cash:** -22.18
- **Case:** Downside; **Year:** 2; **Revenue:** 34.17; **Gross margin:** 90.8%; **EBITDA:** -49.39; **Year-end cash:** -71.57

- **Case:** Downside; **Year:** 3; **Revenue:** 125.70; **Gross margin:** 92.7%; **EBITDA:** 36.09; **Year-end cash:** -35.48
- **Case:** Base; **Year:** 1; **Revenue:** 6.50; **Gross margin:** 92.4%; **EBITDA:** -44.00; **Year-end cash:** -19.00
- **Case:** Base; **Year:** 2; **Revenue:** 68.33; **Gross margin:** 94.4%; **EBITDA:** -15.91; **Year-end cash:** -34.90
- **Case:** Base; **Year:** 3; **Revenue:** 251.41; **Gross margin:** 95.3%; **EBITDA:** 159.28; **Year-end cash:** 124.38
- **Case:** Upside; **Year:** 1; **Revenue:** 9.75; **Gross margin:** 94.3%; **EBITDA:** -40.81; **Year-end cash:** -15.81
- **Case:** Upside; **Year:** 2; **Revenue:** 102.50; **Gross margin:** 95.6%; **EBITDA:** 17.58; **Year-end cash:** 1.77
- **Case:** Upside; **Year:** 3; **Revenue:** 377.11; **Gross margin:** 96.2%; **EBITDA:** 282.47; **Year-end cash:** 284.24

Month-36 outcomes (September 2029):

- **Case:** Downside; **Monthly revenue:** 15.25; **Gross margin:** 93.2%; **Monthly EBITDA:** 7.51; **Ending cash:** -35.48
- **Case:** Base; **Monthly revenue:** 30.50; **Gross margin:** 95.6%; **Monthly EBITDA:** 22.45; **Ending cash:** 124.38
- **Case:** Upside; **Monthly revenue:** 45.75; **Gross margin:** 96.4%; **Monthly EBITDA:** 37.39; **Ending cash:** 284.24

Base-case year-end customer targets:

- **Tier / coverage:** Navigator; **Year 1:** 5; **Year 2:** 25; **Year 3:** 80
- **Tier / coverage:** Platform; **Year 1:** 1; **Year 2:** 6; **Year 3:** 20
- **Tier / coverage:** Government; **Year 1:** 0; **Year 2:** 2; **Year 3:** 6
- **Tier / coverage:** Covered states; **Year 1:** 3; **Year 2:** 10; **Year 3:** 28

Downside uses 0.5× the base customer ramp; upside uses 1.5×. Prices, state coverage, hosting, salaries and hiring dates are unchanged. Customer counts rise evenly within each year from the previous year-end level, beginning at zero. Each month's closing customer equivalents earn a full month of revenue. Fractions are expected-value planning units; real contracts and customer starts will arrive in steps. These are net customer targets; churn and replacement sales are not separately modelled.

Salary and operating-cost assumptions:

- **Position / cost:** Founder 1; **Monthly INR:** ₹1,20,000; **Start:** Month 1: Oct 2026
- **Position / cost:** Founder 2; **Monthly INR:** ₹1,20,000; **Start:** Month 1: Oct 2026
- **Position / cost:** Engineer; **Monthly INR:** ₹1,50,000; **Start:** Month 6: Mar 2027
- **Position / cost:** Policy analyst; **Monthly INR:** ₹80,000; **Start:** Month 9: Jun 2027
- **Position / cost:** Sales lead; **Monthly INR:** ₹1,50,000; **Start:** Month 12: Sep 2027
- **Position / cost:** Other operating costs; **Monthly INR:** ₹50,000; **Start:** Month 1 onward

Hires receive a full month's pay from the listed start month. Monthly payroll reaches ₹6.20 lakh from month 12 and remains flat. Annual payroll is ₹44 lakh in year 1 and ₹74.40 lakh in each of years 2 and 3. No additional hires, salary inflation or employer contributions are assumed.

Cash collections and operating payments occur in the month recognised. Taxes, capex, debt service, working-capital delays and new financing are excluded. Net cash flow therefore equals EBITDA in this simplified forecast. Negative cash is deliberately retained to expose the funding gap; it does not imply the company can operate unfunded.

The financial figures were checked against the saved model. The model's original verification reconciled all 36 months in all three cases for tier revenue, gross profit and margin, EBITDA, net cash flow, ending cash and runway. This document is a static snapshot; later changes to the live model will not update this file.

8. Funding need and runway

Opening cash is ₹25 lakh, treated as a grant or pre-seed cash balance—not operating revenue. No subsequent financing is assumed. The funding floor is the absolute value of the lowest negative projected cash balance; it is additional to the starting cash and excludes contingency.

- **Case:** Downside; **Cash first depleted:** May 2027 (M8); **First positive monthly cash flow:** Dec 2028 (M27); **Additional funding floor:** ₹73.73 lakh; **Total cash required incl. opening ₹25L:** ₹98.73 lakh
- **Case:** Base; **Cash first depleted:** June 2027 (M9); **First positive monthly cash flow:** June 2028 (M21); **Additional funding floor:** ₹40.52 lakh; **Total cash required incl. opening ₹25L:** ₹65.52 lakh
- **Case:** Upside; **Cash first depleted:** June 2027 (M9); **First positive monthly cash flow:** March 2028 (M18); **Additional funding floor:** ₹26.62 lakh; **Total cash required incl. opening ₹25L:** ₹51.62 lakh

The base-case cash trough is May 2028 (month 20), at −₹40.52 lakh. Downside reaches a −₹73.73 lakh trough in November 2028 (month 26); upside reaches −₹26.62 lakh in February 2028 (month 17). Financing must begin arriving before the first cash-out month; waiting until the trough is too late.

There are two different runway measures. The forecast cash-out date follows the full hiring and revenue schedule and is the more useful funding-planning measure. Burn-based runway is ending cash divided by that month's cash burn: at the end of month 1 it is about 7.7 months downside, 7.8 months base and 7.9 months upside. These point-in-time ratios are not the forecast cash-out dates because payroll and revenue change afterward.

Monthly runway is zero once cash is depleted. If cash is positive and the month is cash-generating, a burn-based runway is not meaningful and is left blank. A cash-generating month does not immediately erase accumulated losses; downside still ends month 36 with negative cash in the unfunded model.

Recommendation: explore ₹50–60 lakh of additional capital for the base plan, providing ₹9.48–19.48 lakh above the mathematical funding floor. This is a proposed financing range, not an amount included in the forecast or a completed raise. Government collection delays, larger delivery obligations or additional review staff could consume that buffer. Start financing well before the month-8/month-9 cash-out window.

9. Key risks and how we reduce them

- Policy errors and legal ambiguity. A sourced rule can still be interpreted incorrectly. Reduce risk through review gates for ambiguous orders, effective-date handling, regression tests, incident review and rollback. Have qualified Indian policy/legal advisers validate interpretation and decision boundaries.
- Missed or stale orders. The value proposition depends on a maintained rule system. Define the monitored sources for each state, track ingestion failures, reconcile new orders and make coverage gaps visible. Set update service levels only after pilot evidence.
- Review capacity at 28 states. The supplied volume implies about 840 relevant orders/month at full coverage, while the model has one policy analyst and one engineer. Measure review minutes per order, ambiguity rates, support demand and automation pass rates. Add staff or slow expansion when the quality gate is not met; extra staffing is not yet costed.
- Slow customer conversion and procurement. Smooth ramps can hide long sales cycles and lumpy contract wins. Use paid design partners and stage-based deal tracking, separate unsigned pipeline from contracted revenue, and retain the downside forecast as the financing stress case.
- Government concentration and collections. Government accounts for roughly 41% of base month-36 revenue. Negotiate billing milestones, advance payments where feasible, acceptance criteria and responsibility for procurement delays. Add receivables and renewal stress tests; same-month collection is currently an assumption.

- Integration and support obligations. Low inference cost does not guarantee low delivery cost. Standardise API integrations, document entitlements and service levels, and price bespoke work only after understanding its delivery effort. Track cost to serve by tier.
- Security and personal data. Welfare workflows may involve sensitive information. Minimise collected data, define retention and access controls, log rule and system changes, and obtain appropriate Indian privacy/compliance advice before setting assurances.
- Hosting and usage growth. Rules execution remains inexpensive relative to repeated model inference, but traffic, reliability and abuse controls can raise infrastructure costs. Load-test the service, enforce limits and monitor shared hosting costs against the supplied envelope.
- Funding and incomplete cost coverage. The forecast excludes tax, salary escalation, employer contributions, capex and incremental legal/security spending beyond the ₹50,000 other-cost allowance. Review these with advisers and maintain a cash buffer; do not treat the funding floor as a fully funded operating budget.

Risk mitigations are proposed work, not certifications or proof that controls are already implemented. Track release latency, provenance coverage, missed orders, unresolved ambiguities, test failures, incidents, support load, customer conversion, retention and collections. Numerical service and quality targets should follow pilot evidence.

10. Milestones for each year

The commercial and state targets below are founder-supplied. Product, sales-process and risk-reduction milestones are proposed execution gates.

- Year 1 — prove trust and paid usefulness. Reach 3 states, 5 Navigator and 1 Platform customer; no Government revenue target. Establish the order-to-rule workflow, source traceability and release tests. Recruit NGO/helpline design partners and document paid pilot outcomes. Add the engineer in month 6, policy analyst in month 9 and sales lead in month 12. Arrange the funding bridge before cash depletion. Base annual revenue target: ₹6.50 lakh.
- Year 2 — make delivery and procurement repeatable. Reach 10 states, 25 Navigator, 6 Platform and 2 Government customers. Convert successful pilots into referenceable deployments, standardise integration and support, and define government acceptance and billing terms. Measure review capacity before each coverage expansion. The base forecast reaches positive monthly cash flow in June 2028 (month 21). Base annual revenue target: ₹68.33 lakh.
- Year 3 — scale maintained coverage, not just sales. Reach 28 states, 80 Navigator, 20 Platform and 6 Government customers. Maintain update reliability and regression coverage, validate staffing requirements, strengthen renewal and account management, and avoid excessive dependence on a few government contracts. Base annual revenue target: ₹251.41 lakh; month-36 monthly revenue: ₹30.50 lakh. Expansion remains contingent on quality and funded delivery capacity.

Evidence basis: founder-supplied business description, prices, measured order costs, customer/state targets, salaries, hiring timing, opening cash and exchange rate; the saved Niyam financial model; and explicitly labelled planning conventions. No external market-size or traction claims are included.